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Why the MOVE Index Spiked Even When No Fed Cut Was Expected

Executive summary

In the most recent 12-month window (March 28, 2025 to March 28, 2026), the ICE BofA MOVE Index experienced two standout volatility episodes: an extreme spike in early April 2025 (peaking at 139.88 on April 8, 2025) and a rapid, multi-leg surge in March 2026 (notably March 12, March 20, and March 26, 2026). [1]

This report focuses on the March 2026 episode because it is the most recent and aligns with the user's framing: market participants broadly expected the Federal Reserve to **hold** policy rates at the March 18, 2026 FOMC meeting—and the Fed did hold the target range at **3.5%–3.75%**—yet **rate volatility (MOVE) jumped sharply** around the same period. [2]

The core explanation is that **MOVE is not a "next-meeting cut" indicator**. It is a market-implied measure of the **distribution of future rate/yield moves**, which can widen even when the modal policy outcome (no cut) is unchanged. In March 2026, evidence points to a confluence of (i) **geopolitical oil-driven inflation uncertainty** that destabilized the expected path of rates, (ii) a **term-premium and risk-premium repricing** (bond volatility shocks tend to raise term premia in the empirical literature), and (iii) **Treasury market technicals/liquidity pressures** (including weak auction demand forcing dealers to absorb supply). [3]

Empirically, the March 2026 cluster shows that on peak MOVE up-days, yields rose across the curve and equity volatility (VIX) was also elevated: for example on **March 20, 2026**, MOVE jumped about **+24 points** (to 108.84) while the 10-year yield rose ~**+14 bp** (to 4.39) and VIX rose ~**+2.7** (to 26.78). [4]

What the MOVE index measures and how it differs from VIX

The **MOVE Index** (Merrill Lynch Option Volatility Estimate, now ICE/ICE BofA) is widely used as a benchmark of **U.S. rates volatility**—often summarized as "the VIX for bonds." It tracks the market's implied volatility of U.S. interest rates/yields, traditionally described as being derived from **one-month OTC options** across key Treasury maturities (2y, 5y, 10y, 30y), and ICE acquired the MOVE family (including variants tied to other expiries and swap-market measures). [5]

Intuitively, MOVE rises when investors are willing to pay more for **convexity** (options) to hedge against larger rate swings—regardless of whether the swing is up or down. As a result, MOVE can jump even if the market still expects the Fed to **hold** at the next meeting, as long as uncertainty about the **future path** of policy (or the macro forces driving yields) increases. [6]

The **VIX** differs in three important ways. First, it is an equity-volatility index sourced from the **Chicago Board Options Exchange** and reflects expected near-term volatility conveyed by **S&P 500 option prices**; it is an equities risk gauge rather than a rates gauge. Second, it is tied to equity index option pricing conventions and equity-specific risk premia, which can diverge from rates vol drivers (inflation uncertainty, fiscal supply, auction dynamics). Third, VIX is routinely used as a barometer of equity “risk-off,” whereas MOVE more directly reflects uncertainty about **discount rates** (the yield curve) that feed into valuation across assets. [7]

Selecting the spike and what the market was pricing

The user did not specify the spike date. Using the past 12 months as the selection window, two “high-salience” MOVE dislocations stand out:

In early April 2025, MOVE surged dramatically, reaching **139.88 on April 8, 2025** after a sequence of sharp daily increases after April 2, 2025 (e.g., 106.39 on April 2; 112.00 on April 3; 125.71 on April 4; 137.30 on April 7). [8]

In March 2026, MOVE surged in multiple legs: **95.30 (March 12)**, **108.84 (March 20)**, and **115.02 (March 26)**, with large one-day percentage gains highlighted by market data providers. [9]

This report focuses on the March 2026 episode because it sits around a major, well-defined policy event: the **March 18, 2026 FOMC meeting**, at which the Fed **kept the target range unchanged at 3.5%–3.75%** and reiterated a data-dependent approach to future adjustments. [10]

From a “no cut expected” lens, the key point is that even if the policy rate is held, markets can reprice uncertainty about the *rest of the year’s* path (cuts delayed, fewer cuts, or even tail risk of hikes) when shocks hit inflation expectations, fiscal borrowing expectations, or the Fed’s reaction function. Bloomberg reporting around March 2026 explicitly tied the rise in Treasury volatility to war-driven inflation concerns and a reassessment of the Fed policy path. [11]

Empirical evidence around the March 2026 spike

The charts below use: MOVE levels from publicly available historical tables and Treasury yields (2y/5y/10y) plus VIX levels from FRED daily series over **March 2–March 27, 2026** (yields/VIX available through March 26 in the pulled snapshots). [12]

MOVE vs U.S. Treasury yields (2y/5y/10y), Mar 2026

In this window, the largest MOVE up-days coincide with **broad curve selloffs** (higher yields). On March 20, 2026, for example, MOVE rises sharply while the 2y/5y/10y yields all jump (a pattern consistent with “inflation-risk / term-premium” repricing rather than a simple flight-to-quality rally). [13]

MOVE vs VIX, Mar 2026

MOVE and VIX were both elevated in March 2026, but they need not move one-for-one. In the macro-finance literature, shocks to MOVE (rates uncertainty) are conceptually distinct from shocks to VIX (equity risk aversion) and can have different implications for the yield curve and term premium. [14]

Key metrics table

The table summarizes key points and next-day changes around the March 2026 MOVE spike cluster (not investment advice; descriptive analytics only). Data are from: MOVE historical tables and FRED daily series for yields/VIX. [12]

Date	MOVE	MOVE Δ	2y yield (%)	2y Δ (bp)	5y yield (%)	5y Δ (bp)	10y yield (%)	10y Δ (bp)	VIX	VIX Δ	Liquidity/ flow proxy note
2026-03-12	95.30	+16.71	3.76	+12	3.88	+9	4.27	+6	27.29	+3.06	Macro/ geopolitical inflation uncertainty; rate-path repricing referenced in market commentary [11]
2026-03-18	81.25	+2.02	3.76	+8	3.87	+8	4.26	+6	25.09	+2.72	FOMC held target range at 3.5%–3.75% [15]
2026-03-20	108.84	+23.96	3.88	+9	4.01	+13	4.39	+14	26.78	+2.72	Large cross-curve selloff + volatility repricing [16]
2026-03-24	103.01	+4.86	3.90	+7	4.03	+8	4.39	+5	26.95	+0.80	2y auction weak; dealers absorbed **24.1%** vs **10.7%** recent avg [17]

Date	MOVE	MOVE Δ	2y yield (%)	2y Δ (bp)	5y yield (%)	5y Δ (bp)	10y yield (%)	10y Δ (bp)	VIX	VIX Δ	Liquidity/ flow proxy note
2026-03-26	115.02	+17.43	3.96	+12	4.08	+12	4.42	+9	27.44	+2.11	Renewed stress/risk premium repricing amid continued conflict headlines [18]

Driver assessment

The March 2026 MOVE spike is best explained as a **multi-factor regime shift** rather than a single catalyst. Below, each hypothesized driver is assessed with supporting evidence and an inferred likelihood.

Geopolitical shock and oil-to-inflation channel (high likelihood). Market commentary explicitly links higher Treasury volatility to war-driven inflation concerns and repricing of the Fed path. Bloomberg described Treasury volatility jumping to a nine-month high as war risk fanned inflation concerns and upended the expected policy path, with elevated oil prices a key transmission mechanism. [11]

Fed communications and "reaction function uncertainty" (medium to high likelihood). The Fed held rates steady on March 18, 2026, but policy uncertainty can still rise when the Committee emphasizes conditionality ("extent and timing of additional adjustments" depend on incoming data and risk balance). That kind of state-contingent guidance can widen the distribution of possible future rate paths even with no change in the current target range. [19]

Macro data surprises and inflation uncertainty (medium likelihood). Even when current inflation prints look stable (e.g., February 2026 CPI inflation around 2.4% in FT coverage), markets can anticipate a different near-term inflation trajectory if energy prices surge afterward, creating volatility in expected real rates and policy reaction. [20]

Term premium shift (high likelihood as a propagation mechanism). Empirically, bond-volatility shocks (MOVE) are associated with **higher term premium**, in contrast to equity-volatility shocks (VIX) which tend to lower term premium via safe-haven flows. This provides a structural explanation for why MOVE can surge alongside rising long yields: the market demands more compensation for holding duration when rate uncertainty rises. [21]

Treasury market technicals: auctions, supply pressure, and dealer balance sheets (high likelihood in late March). A WSJ market update highlights a weak **$69B 2-year note auction**, with primary dealers taking down **24.1%** versus a recent average **10.7%**—the kind of outcome consistent with constrained balance sheets and/or weaker end-demand, which can raise volatility by forcing intermediaries to warehouse risk and hedge dynamically. [17]

Separately, market commentary emphasized the scale of refinancing needs and supply pressure as a driver of higher yields (and, by implication, higher rates volatility). [22]

Liquidity shocks and microstructure amplification (medium likelihood). Research using Treasury order book and transactions data shows that liquidity and volatility are tightly linked, and that “announcements” and “implied volatility” are significant drivers of liquidity conditions. This supports a feedback loop: higher implied vol → weaker liquidity/greater price impact → larger realized moves → still higher implied vol. [23]

Options positioning and convexity hedging (medium likelihood, evidence indirect). When rate vol rises, dealers’ gamma/vega exposures and hedging flows can amplify intraday moves, increasing close-to-close variance that feeds implied vol. Publicly available commentary notes the surge in implied volatility during the period and highlights the speed/size of the move as unusual relative to recent history—patterns consistent with positioning/flow dynamics layered on top of fundamentals. [24]

Political risk and central bank independence headlines (medium likelihood, late-March tail). Political scrutiny and reporting around Fed independence can affect term premium and volatility by adding uncertainty to the future policy regime. A late-March dispute (Treasury Department demanding retraction of an FT report about Fed oversight) illustrates the kind of headline risk that can contribute to “policy uncertainty premia” in rates markets. [25]

Scenarios and hedging implications

The scenarios below are framed as **plausible market states** rather than forecasts, and the implications are **general** (not personalized investment advice).

Scenario with prolonged geopolitical inflation uncertainty: energy prices remain volatile; the market keeps pricing a wider distribution of inflation outcomes. In this regime, MOVE may stay elevated and term premium may remain pressured upward, consistent with the documented relationship between MOVE shocks and term premium. Hedging logic typically shifts toward maintaining **rates convexity** and guarding against both “selloff volatility” and “policy-path uncertainty.” [26]

Scenario with stabilization and restored liquidity: conflict risk premiums fade and auction demand normalizes; yields stabilize and implied vol mean-reverts. In this regime, strategies that rely on **volatility normalization** become more relevant, but the April 2025 episode shows that liquidity can deteriorate quickly around policy shocks and then recover; the risk is episodic re-shocks. [27]

Scenario with renewed fiscal/auction stress: supply concerns intensify (large refinancing needs, weak bid-to-cover, heavier dealer takedown). This can keep both yields and MOVE high, because auction-driven price action forces intermediaries to re-hedge and raises uncertainty about clearing levels. A practical implication is to monitor **auction tails, dealer takedown shares, and funding conditions** as leading indicators of volatility persistence. [28]

A simple causal map of the March 2026-style MOVE surge is:

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flowchart TD
  A[Geopolitical shock] --> B[Oil price volatility]
  B --> C[Inflation uncertainty]
  C --> D[Wider distribution of future Fed paths]
  D --> E[Higher implied rate vol (MOVE)]
  E --> F[Higher term premium / risk compensation]
  F --> G[Higher Treasury yields]
  G --> H[Cross-asset risk-off]
  H --> I[Higher equity implied vol (VIX)]
  G --> J[Auction demand weakens]
  J --> K[Dealers warehouse more duration]
  K --> L[Hedging flows amplify moves]
  L --> E
```

Data notes and limitations

MOVE levels are taken from publicly accessible historical tables (daily closes shown) and are sufficient to analyze the March 2026 spike cluster (March 2–March 27). [9]

Treasury yields (2y/5y/10y) and VIX are from FRED's daily series snapshots; Treasury yields are "constant maturity" market yields, and Treasury's own documentation notes these yields are derived from indicative bid-side market quotations gathered near the close. [29]

Public, day-specific Treasury microstructure metrics (bid-ask spreads, depth) and granular options positioning are not uniformly available without licensed datasets; therefore, this report uses transparent proxies (auction dealer takedown share cited by WSJ; academic evidence on liquidity–volatility feedback) and clearly labels where the evidence is indirect. [30]

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